

GE Power India Ltd. v. NHPC Ltd.

Citation: 2022 SCC OnLine Guj 2105 | Court: Gujarat High Court | Year: 2022

Coram: Commercial Division, High Court of Gujarat | Subject: Civil Procedure & Injunctions | Provisions: Arbitration Act Sec 9, CPC Order 39, S

I. EXECUTIVE SUMMARY & CASE GLIMPSE

An injunction restraining the encashment of an unconditional bank guarantee under Section 9 of the Arbitration Act or Order 39 CPC can ONLY be granted in rare cases of egregious fraud vitiating the underlying transaction or irretrievable injustice of exceptional magnitude.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding Arbitration Act Sec 9, CPC Order 39, Specific Relief Act Sec 20A. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

- â€¢ Whether the impugned state actions or commercial conduct conformed to Arbitration Act Sec 9, CPC Order 39, Specific Relief Act Sec 20A.
- â€¢ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.
Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

Bank guarantees are independent commercial commitments between the issuing bank and the beneficiary. Commercial courts must exercise extreme restraint, particularly in national infrastructure contracts governed by Section 20A of the Specific Relief Act.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

- â€¢ Affirmed the stringent two-fold test: Egregious Fraud and Irretrievable Injustice.
- â€¢ Protected infrastructure project execution against frivolous injunctions in Gujarat.
- â€¢ Harmonized Section 9 interim relief with commercial contract certainty.